

on existing bonds also decreased. That continued to a low point in 2007. Then the credit markets fell apart again, and spreads on all corporate debt jumped significantly. The high-yield market again corrected back to normal spreads starting in late 2008. High-yield prices tend to recover earlier than the equity prices.

Some people believe that default risk is nothing more than a type of equity risk and therefore adding high-yield corporate bonds to a portfolio is the equivalent of adding more equity. That argument is not entirely correct. High-yield spreads tend to lead the stock market in forecasting future economic activity. Spreads started widening in October 2007 at the same time the stock market hit a new all time high. In November 2008, high-yield bonds started to recover several months earlier than the equity market turned higher. High-yield bonds were fully recovered in October 2009, while the stock market had only made up half the losses from the bear market. At the time, the S&P 500 crossed 1,050, which was well below the 1,552 October 2007 high.

High-yield bonds are volatile. Accordingly, an adjustment may need to be made in your overall stock and bond asset allocation if you are targeting a certain risk profile for the portfolio. For example, if you place 10 percent of your overall portfolio in a junk bond fund, you might consider reducing your equity allocation by a couple of percentage points to keep the overall portfolio risk at the same level as it was before adding high-yield bonds. Personally, I have never found the need to do this. You might decide otherwise.

One note of caution, I do not recommend buying individual high-yield bonds because of their high trading costs and a genuine lack of investment information. A better approach is to purchase a low-cost mutual fund that concentrates holdings in high-yield bonds. Mutual funds provide instant access to a broadly diversified portfolio of high-yield bonds that have been selected by an experienced manager. A couple of low-cost BB-B-rated high-yield U.S. corporate bond funds are listed at the end of this chapter.

Treasury Inflation-Protected Securities (TIPS)

Treasury Inflation-Protected Securities, or TIPS, were introduced in the late 1990s and are designed to protect against the damaging effects of inflation. Like traditional Treasury notes and bonds, TIPS pay semiannual interest and have a maturity date when the par value of the bond is returned. Unlike